

The complaint

Mrs C complains that Lloyds Bank General Insurance Limited (Lloyds) unfairly declined part of her claim for storm damage under her home insurance policy.

What happened

In February 2020 Mrs C said she noticed a small area of damp on a bedroom wall. She said that after two storms later that month she noticed that the damp had got a lot worse. So she reported this to her home insurance provider, Lloyds.

Mrs C also got a local company to quote for the required external repair work. They produced an estimate for the cost of the repair work of just under £4,000 plus VAT.

In late March 2020, Lloyds appointed a surveyor to inspect the damage. After reviewing the inspection report, Lloyds partially declined the claim. They declined to cover the external damage to the chimney stack. But agreed to cover the internal damage to the bedroom.

Unhappy, Mrs C complained to Lloyds. In their June 2020 final response letter, they partially upheld her complaint. They agreed that the service Mrs C had received hadn't been as good as she could've expected. They felt they could've appointed their surveyors earlier to confirm the cause of the damage. So they arranged to pay her £75 compensation. But they confirmed that they felt they'd been right to decline to cover the damage to the chimney. They said the damage was due to a natural breakdown of the materials and not as a result of a one-off storm.

Mrs C didn't agree so she brought her complaint to this service. Our investigator initially upheld the complaint. She didn't feel that Lloyds had provided enough information to show that the claim wouldn't be covered under the storm peril.

Lloyds disagreed with this view and provided further information. They said there was no visible storm damage to the chimney. And no mention of storm damage in Mrs C's builder's estimate for the repair work.

Given the additional information, our investigator didn't uphold the complaint. She felt that Lloyds had now provided enough information to evidence that their decline of part of the claim was reasonable. So she didn't think Lloyds had treated Mrs C unfairly.

Mrs C didn't agree. She felt that a storm had caused the damage. So this complaint has come to me for a final decision.

What I've decided – and why

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint.

Having done so, I'm not going to uphold it. I'll explain why.

Not all damage a home sustains will be covered by a home insurance policy. If it was then insurance policies would be prohibitively expensive. Only damage caused by one of the insured perils (or, events) listed in the policy – fire, theft, escape of water, storm etc. – is covered. If a policyholder can show that the damage he or she is claiming for is caused by one of the policy perils then the insurer must pay the claim unless the insurer can rely on one of the policy exclusions to defeat it. If the insurer wishes to rely on a policy exclusion it is its responsibility to prove it can be successfully applied to defeat the claim.

Mrs C feels strongly that her chimney was damaged by storm Clara on 8 February 2020 and storm Denis on 15th February. But Lloyds didn't think that a storm had caused the damage. They said the chimney was damaged through normal wear and tear, which isn't covered under the policy.

As our investigator mentioned, when our service looks at a storm claim complaint, there are three questions to consider:

1. Did storm conditions occur on or around the date the damage is said to have happened?
2. Is the damage claimed for consistent with damage a storm typically causes?
3. Were the storm conditions the dominant cause of the damage?

If the answer to all three of these questions is yes, then a claim should likely succeed.

However, if the answer to any of the questions is no, then it's unlikely the claim would be covered under the storm damage part of the policy.

For 1., there's no dispute that there was a storm in the area around the time of the loss. So I won't consider this further.

For 2., the surveyor felt that the leak was caused by the natural breakdown of materials. Their report noted: *"there is some deterioration to the flaunching to the chimney which may be an area of ingress. There are no displaced tiles or render."* The contractor who provided the estimate for external repair work for Mrs C gave her two options: remove the chimney stack or take it down and rebuild it. But their estimate didn't refer to storm damage. And the photos of the roof and chimney don't show other evidence of storm damage. So Lloyds concluded that the external damage wasn't consistent with damage a storm typically causes.

Looking at the photos provided by the surveyor, Lloyds said: *"there is no storm damage to the chimney, nothing has been disturbed by the wind and the caps are still in place. Water has entered the chimney due to issues caused by everyday weathering rather than entering through damage caused by a one-off storm."*

Mrs C said that the dampness she noticed in the bedroom wall in early February 2020 got considerably worse after the two big storms she experienced later that month. So she felt that although there may be some ageing of the chimney, she'd always had it maintained and didn't agree that it was the main cause of the damage.

I've seen the photos and I agree with Lloyds that there's no visible storm damage to the chimney or the roof. Therefore, although I acknowledge what Mrs C has said about the damp getting worse after the storms, I can't conclude that Lloyds acted unfairly or unreasonably when it declined her claim for external damage. I've not seen enough evidence that a storm caused the damage to the chimney.

Based on everything I've seen, I'm satisfied that the damage wasn't consistent with the damage a storm typically causes. And I'm not persuaded that Mrs C has shown that the damage to the chimney was caused by a storm, or any other policy peril. The damage appears to have been caused by wear and tear to the chimney, which isn't covered under

Mrs C's policy. So I don't consider that Lloyds did anything wrong when they declined to cover the cost of the chimney repairs.

I know this decision will disappoint Mrs C. But I won't be asking Lloyds to do anything more.

My final decision

I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mrs C to accept or reject my decision before 21 July 2021.

Jo Occleshaw
Ombudsman